

MONEYLINE: Record oil prices have given a big boost to the economy

FLUSH WITH OIL MONEY THE economy has boomed. The country now boasts of 101 billionaires, apart from 5,00,000 millionaires and a growing middle class.

like the Lada. Moscow's endless traffic jams though have become the great leveller with everyone moving at a snail's pace, whatever the car model be.

Culture and entertainment too has made a major comeback. The Bolshoi ballet and the Russian cinema were on the verge of collapse when the Government intervened with timely funds. Salaries of ballet artistes went up 10-fold and liberal funding saw the number of Russian documentaries increase from 18 in 2000 to 500 last year. With the Government not yielding to pressure to stop screening of Hollywood films there was an unprecedented boom in the construction of cinema halls with over 1,300 new screens coming up in just five years. That resulted in a revival of Russian films which now constitute a fourth of the movies being screened in such halls. "We succeeded in reversing the drain in talent," says Mikhail Shvydkoi, director, Federal Agency for Culture and Film.

So how did Putin reverse Russia's downhill slide? Those who know him, and there are very few who know him well, say Putin concentrated on establishing what he called, "the vertical of power" which essentially meant increasing Kremlin's hold over Russia's power structure. Moving his former KGB colleagues into key posts and selecting a talented team of young politicians and bureaucrats to establish a

clan of his loyalists, or the so-called siloviki (power guys), Putin went about ruthlessly asserting Presidential control over the country's political and economic structure.

If the oligarchs who voted him to power had thought they could manipulate him they soon found him a tough nut to crack. He made an example of oil magnate Mikhail Khodorkovsky, who had tried to challenge his political authority, by having him convicted and jailed for committing financial fraud. The state-owned Gazprom then bought the shares of Khodorkovsky's Yukos Oil, then Russia's single largest oil producer. Defending Putin's tough approach, Vladimir P. Evtoushenkov, chairman of Sistema, the country's largest mobile phone operator, says, "Putin told all of us clearly if you want to do business then you do that, but stick to that. But if you want to do politics then give up your business and be responsible for your actions. If we played by such rules we had no problems in expansion within the country and abroad." Putin was equally severe with the media cracking down on independent television stations, though allowing newspapers a higher degree of freedom to operate. Last month though, he slammed *Moskovsky Korrespondent* for reporting about his alleged affair with former Russian gymnast Alina Kabaeva and is said to be responsible for having the publication shut down.



MAJ. GEN. VALERY V. GRIBAKIN

Deputy Head, Federal Interior Ministry

"In the 1990s Moscow streets were filled with worried people. Now I see happy people filled with hope."



EKATERINA VIDENINA

Student, Moscow University

"My parents are my role models and I am free to pursue my dreams and realise my potential."